

other businesses that were not as profitable.<sup>14</sup> A biotechnology analyst at Sanford C. Bernstein & Company said, “It’s no surprise that that original business is starved for capital and you have all sorts of problems.”<sup>15</sup> Genzyme needed “new management to reverse course,” he said, “and break apart what had become a conglomerate.”<sup>16</sup> Shareholders also complained that the company’s accounting was opaque and that the financial reporting had not conformed to standard.<sup>17</sup> The board was simply too tightly knit, passive, and cowed by Termeer, an outsized personality who had run Genzyme for 25 years, building it from scratch into a giant with \$4.6 billion in sales.<sup>18</sup> Sheridan Snyder, the founder of the company, called for Termeer’s resignation. Termeer, revealing a tin ear, told CNBC that there was no reason for him to resign because the company would “recover through the first half of 2010 and return to the record-high share prices last seen in 2008.”<sup>19</sup> Reuters reported that one portfolio manager holding 500,000 shares of Genzyme said, “In my opinion, and the opinion of Wall Street, Henri has failed to execute well over the past few years. I think there are certain investors who would welcome a management shake-up.”<sup>20</sup>

Alex Denner, Icahn’s biotechnology analyst, had been following Genzyme for years.<sup>21</sup> Icahn had held a passive 1 percent position in Genzyme in 2007, but sold out as the stock ran up. Denner let Icahn know that Genzyme was primed for his attention: its business was suffering through a series of crises caused by management missteps; the board had corporate governance issues; and shareholders were unhappy. The company was diverse, with many moving parts, some valuable, others less so. The opportunity was in Genzyme’s undervalued jewel—its lucrative rare-disease business—hidden by muddy accounting in a thicket of bolted-on drugs and unrelated surgical and diagnostic products.<sup>22</sup> Denner believed the acquisitions, which generated \$2 billion in revenue, contributed nothing to the bottom line.<sup>23</sup> Worse, they had drained capital away from the rare-disease business. Summing up the situation, Denner said:<sup>24</sup>

*Genzyme had a golden goose. All you had to do was put a little hay in front of the goose in the morning, and they weren’t even doing that.*

For his part, Termeer told *Forbes* that diversification was essential to survival and growth. “These products were highly profitable. Maybe [Icahn] couldn’t see this in the [financial statements], but those assumptions were wrong.”<sup>25</sup>

As Denner described Genzyme, Icahn peppered him with questions, “How broken was manufacturing? Could the FDA be so angry it would handicap Genzyme for years to come? With health care reform in the air, could Congress cap prices of its bestselling drugs?”<sup>26</sup> Satisfied with his